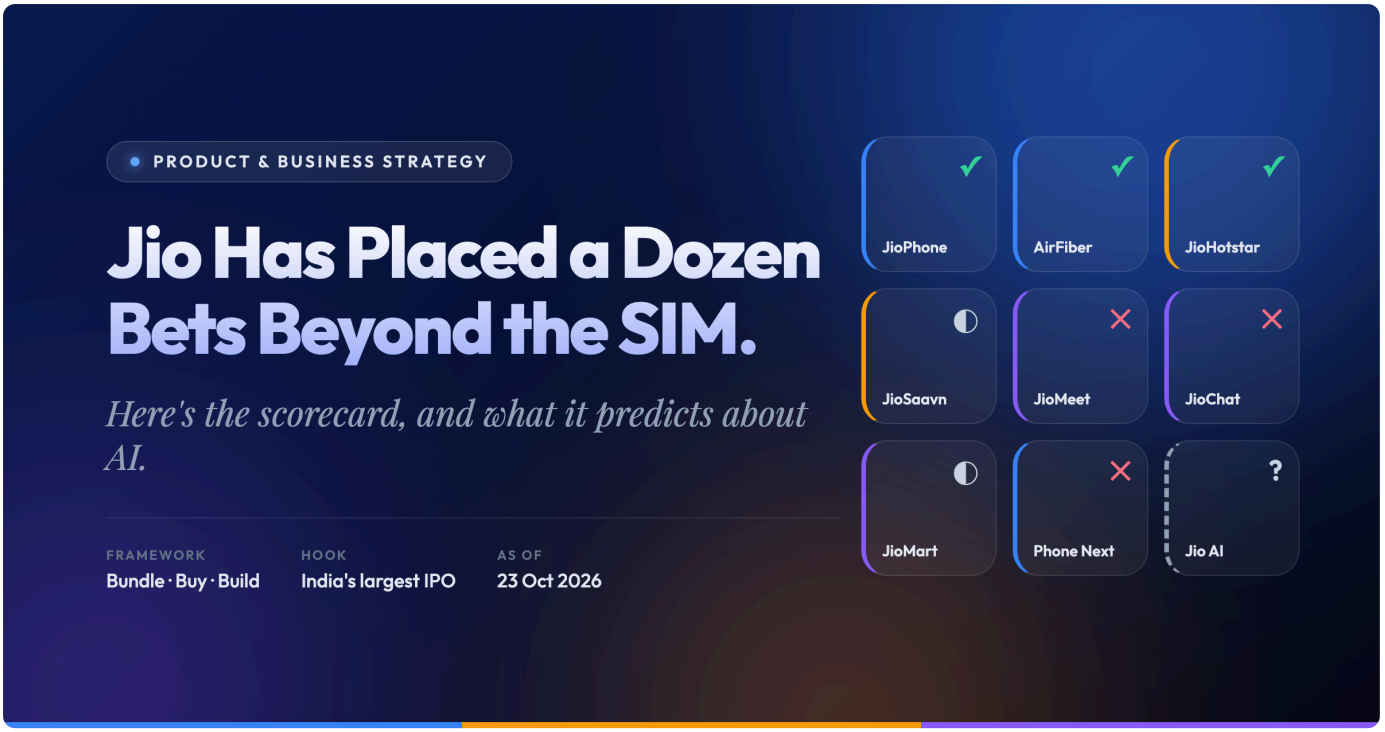
Jio Has Placed a Dozen Bets Beyond the SIM. Here's the Scorecard.

India's biggest IPO is pitched as a platform and priced like a telco. Ten years of Jio's product bets explain why, and what that predicts about AI.

As of 23 October 2026, after subscription closed and before the 28 October listing.



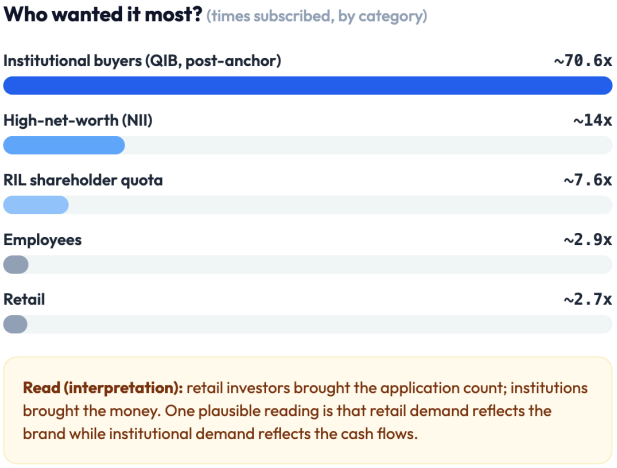
On 23 October 2026, subscription closed on the Jio Platforms IPO. About 1.38 crore applications came in, a record (Reuters) and, per ET Now and BusinessLine, the first IPO anywhere to cross one crore. The public book (excluding anchor investors) was covered about 22 times over, with institutions bidding for roughly 70 times the portion left after the anchor allotment. At the top of the price band, Jio is worth about ₹10.3 lakh crore, or around $107 billion. On 23 October the grey market was reportedly implying a listing premium of about 22% (unofficial, and not a forecast).

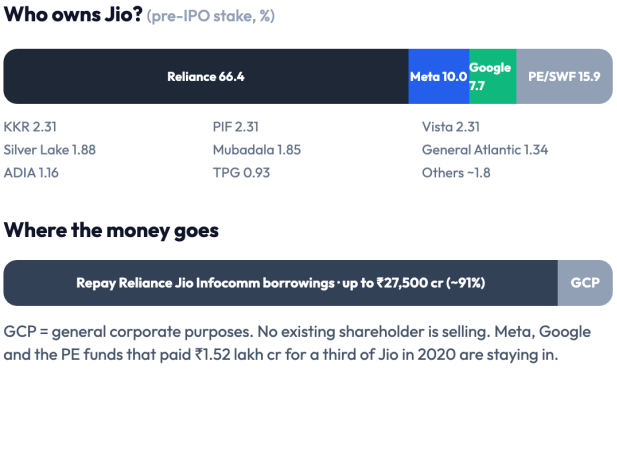
FIG 1 · THE HOOK

India's largest IPO, by the numbers

Jio Platforms closed subscription on 23 Oct 2026. Investors were not buying a new company. They were buying a 10-year-old distribution machine.







As of 23 Oct 2026. Sources: final-day exchange subscription data (22.19× overall; QIB 70.55×, NII ~14×, retail 2.72×) as reported by Mint, Economic Times and Business Standard; 1.38 crore applications (Reuters; first IPO globally past one crore per ET Now and BusinessLine). The QIB multiple is on the ~4.90 crore shares left after 7.24 crore went to anchor investors. Subscription multiples exclude the anchor book; ~₹4.9L cr bid = ~438 cr shares bid × ₹1,119 (author's arithmetic; reported totals including anchor demand are higher); RHP objects of the issue; DRHP shareholding as reported by Mint and Financial Express. Value = ₹1,119 × ~920.9 cr post-issue shares. Grey-market premium on 23 Oct was reported at ~21–22% (unofficial, not a forecast). Figures rounded. Not investment advice.

Most coverage will ask whether the listing pops. That is a question about one day. This piece asks a question about ten years:

Every time Jio has tried to become more than a connection, what happened, and why?

It matters because the IPO pitch leans on the word *platform*: the idea that Jio can launch products on top of its 500-million-plus connections and win commerce, entertainment, payments, cloud and now AI.

Jio has tested that claim many times, with messengers, browsers, video calls, music, streaming, phones and home broadband. Put the attempts side by side and the short answer to "telco or platform?" is this: **Jio is a distribution platform, and the market is pricing it as a telco.** The one-line version of the business model:

> **Jio sells distribution and buys preference.**

It wins when it can bundle. It buys the preference it can't build. And it has had far less success building standalone products that displace established specialists. The rest of this piece is the evidence.

Act I: Building the distribution

In September 2016, Jio launched 4G with free data and free voice, and kept it free until March 2017. In about 170 days it had roughly 100 million subscribers.

Price mattered. According to TRAI, a gigabyte of wireless data in India cost about ₹269 in 2014. By 2018 it was about ₹11.78. Today Jio's realised revenue per GB, a different measure, is under ₹5.

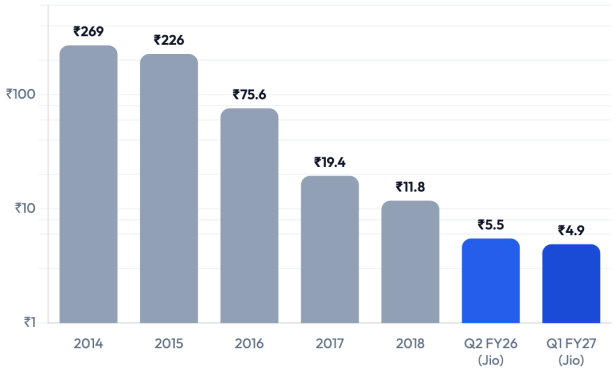
FIG 2 · ACT I: BUILDING THE DISTRIBUTION

Make data almost free, then fill the empty SIM slot

Jio didn't ask anyone to switch. It asked for the second SIM slot most Indian phones already had.

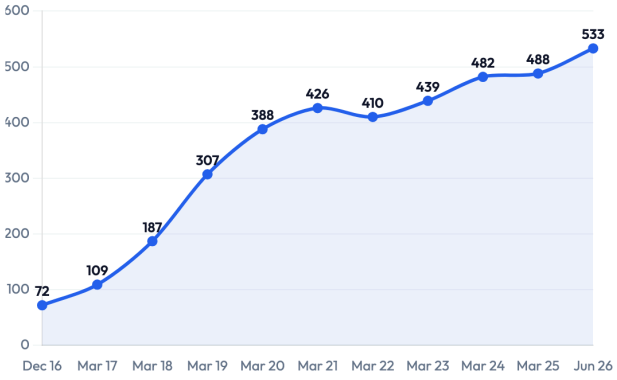
The price of 1 GB of mobile data (₹)

Log scale. Grey: TRAI's industry-average cost per GB (calendar years). Blue: Jio's realised revenue per GB (ARPU ÷ GB used per user).



Jio subscribers (millions)

Company-reported, period end.



THE DUAL-SIM WEDGE

Users kept their old SIM for calls and added Jio for free data. **Switching cost: zero.** Jio took the second slot without asking anyone to give up their first SIM.

SPEED

~100 million users in about 170 days after the Sept 2016 launch, on free "Welcome" and "Happy New Year" offers that ran until March 2017.

WHAT IT BOUGHT

A billing relationship with **533M connections** (not unique people, given dual-SIM), 285M of them on 5G. Prepaid connections come back to recharge every 28–84 days.

Sources: TRAI; Reliance/Jio quarterly reports (Q2 FY26: ARPU ₹211.4, 38.7 GB/user; Q1 FY27: ARPU ₹215.6, 43.7 GB/user, 533.3M subs). Grey bars: TRAI average cost per GB as cited in its Aug 2019 release (₹269 in 2014 → ₹11.78 in 2018). Blue bars use a different measure (Jio's realised revenue per GB) and are not strictly comparable with TRAI's series.

The less obvious reason is the **second SIM slot**. Most Indian phones in 2016 were dual-SIM, so Jio never had to ask anyone to *leave* Airtel or Vodafone. It only asked them to put a free SIM in the empty slot. Users kept their old number for calls. Switching cost was close to zero.

That is the first lesson, and it keeps returning: **Jio's best moves slot into a behaviour that already exists.**

(It is also why Jio's subscriber count is a count of *connections*, not people. Many users carry two SIMs.)

The market Jio left behind

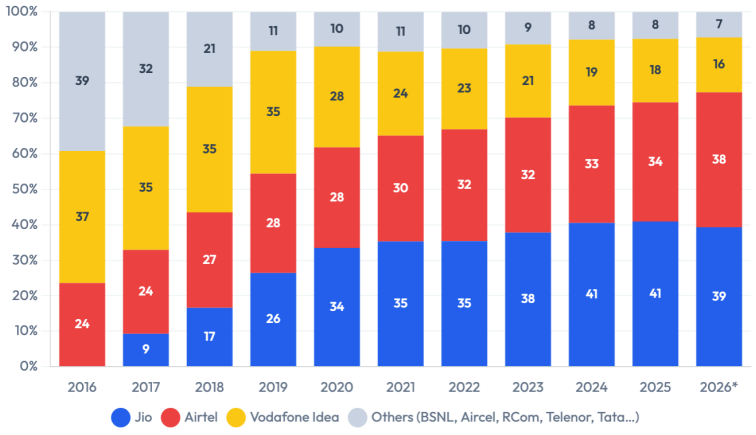
In 2016 India had around a dozen mobile operators. Within three years most were gone or merged: Telenor sold to Airtel, Reliance Communications shut its voice business, Aircel went bankrupt, and Vodafone and Idea merged to survive.

FIG 3 · ACT I: THE MARKET JIO LEFT BEHIND

A dozen operators became three

The free-data price war didn't just win customers. It changed the structure of the market, and that is where Jio's later pricing power came from.

Wireless subscriber share (%), March of each year



Who left the market

2017	Telenor India sold to Airtel. Tata Teleservices' mobile business followed (2019).
2017	Reliance Communications (Anil Ambani) shut 2G/voice services.
2018	Aircel filed for bankruptcy.
2018	Vodafone and Idea merged to survive, becoming Vi.

Then prices moved together

ROUND	JIO HIKE	PATTERN
Dec 2019	up to ~40%	All three within days
Dec 2021	~20%	Airtel first, Vi & Jio followed
Jul 2024	12–27%	Jio first, Airtel & Vi next day

Matching price moves reflect market structure. They are not, on their own, evidence of coordination.

Source: TRAI monthly subscription reports, rounded and approximate. "Others" includes BSNL/MTNL and operators that later exited. 2026 is July 2026. TRAI's revised reporting includes M2M connections, which lifts Airtel's share.

What was left was a three-player private market: Jio, Airtel and Vodafone Idea. Since 2019 there have been three major tariff rounds (December 2019, December 2021, July 2024), and each time all three moved within days. With twelve players, someone undercuts. With three, matching a rival's hike is the rational response. (Parallel moves like these don't imply coordination. Each operator can simply follow the others.)

Jio's later pricing power didn't come mainly from a product. It came, at least partly, from the market structure its price war created.

Act II: The consolidation dividend

Pricing power, and its limits

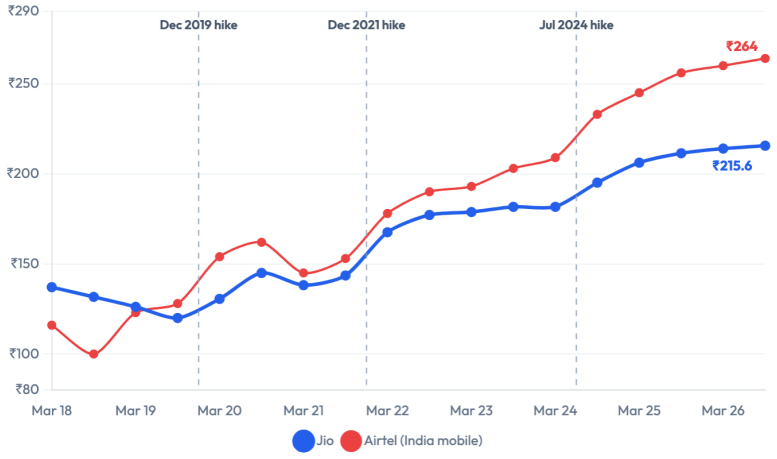
Jio's ARPU has risen from about ₹120 before the December 2019 hike to ₹215.6 in the June 2026 quarter.

The July 2024 hike is the clearest single test. Jio raised tariffs by 12–27%. In the following quarter it lost about **10.9 million subscribers** (around 2.2%), ARPU rose **7.4%**, and implied mobile revenue (subscribers × ARPU) rose roughly **5%**. It lost connections and still made more money.

FIG 4 · ACT II: THE CONSOLIDATION DIVIDEND

Revenue per user rose in three hikes. Airtel still earns more per customer.

Monthly ARPU (average revenue per user, ₹). Dashed lines mark industry tariff hikes.



TEST: THE JULY 2024 HIKE

Subscribers	ARPU
−10.9M	**+7.4%**
489.7M → 478.8M (−2.2%)	₹181.7 → ₹195.1

Implied mobile revenue (subscribers × ARPU): ≈ +5%. Jio lost users and still earned more. That is pricing power.

TWO STRATEGIES, ONE MARKET

Airtel ARPU	Jio ARPU	Gap
₹264	**₹215.6**	**22%**

Airtel maximises **revenue per user**. Jio maximises **the number of users**. Jio accepts lower ARPU because the user base is what it sells to its other businesses.

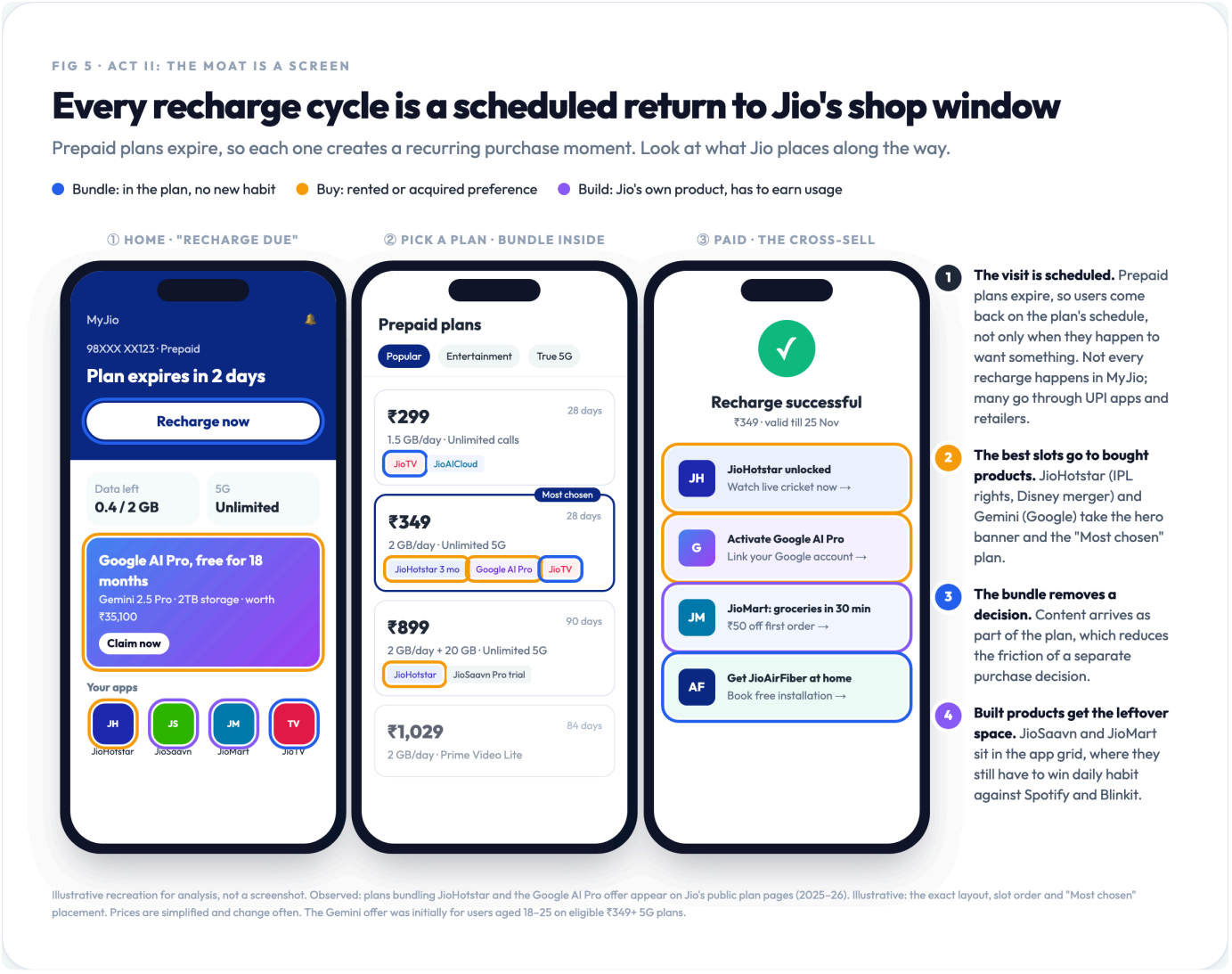
Sources: Jio and Bharti Airtel quarterly reports (Q1 FY27 = June 2026). Airtel figures are India mobile ARPU. Earlier quarters are rounded and approximate. Revenue effect = subscribers × ARPU, Q1 vs Q2 FY25, before other revenue lines.

Two caveats keep this honest. That quarter mixes real churn with users dropping secondary SIMs, so it overstates how many *people* left. And the effect is fading: in Q1 FY27, ARPU grew only **3.3%** year on year (₹208.8 to ₹215.6), and net profit grew 9.2% against 15.1% EBITDA growth. Over the same period Airtel's ARPU grew about 5.6% (₹250 to ₹264). Pricing power is real, but it arrives in steps, at each hike, not as a steady climb.

Airtel's ARPU is ₹264, about 22% above Jio's. My read is that the gap reflects two emphases. Airtel's higher ARPU is consistent with extracting more **revenue per user** through postpaid, premium and enterprise. Jio's lower ARPU on a larger base is consistent with prioritising **the number of connections**, because the base is the asset it sells JioHotstar, JioMart, AirFiber and now AI into.

The moat is a screen

About 90% of Indian wireless connections are prepaid (TRAI, March 2026). Prepaid plans expire, usually every 28, 56 or 84 days, so every recharge cycle creates a recurring purchase moment. Many of those recharges happen inside MyJio, though plenty also go through UPI apps and retailers.



Look at what Jio does with that moment:

1. **The visit is scheduled.** Users come back on the plan's schedule, not only when they want something.
2. **The best slots go to products Jio bought.** JioHotstar and the Google AI Pro offer appear in the featured plans.
3. **The bundle removes a decision.** Content arrives as part of the plan, which reduces the friction of a separate purchase.
4. **Products Jio built get the leftover space.** JioSaavn and JioMart sit in the app grid, where they still have to win daily habit against Spotify and Blinkit.

(The plans themselves are public. The exact layout in Fig 5 is an illustrative recreation.)

The recharge screen may be Jio's most valuable product. It isn't sold to anyone. It's where everything else is sold. So what should Jio put on it?

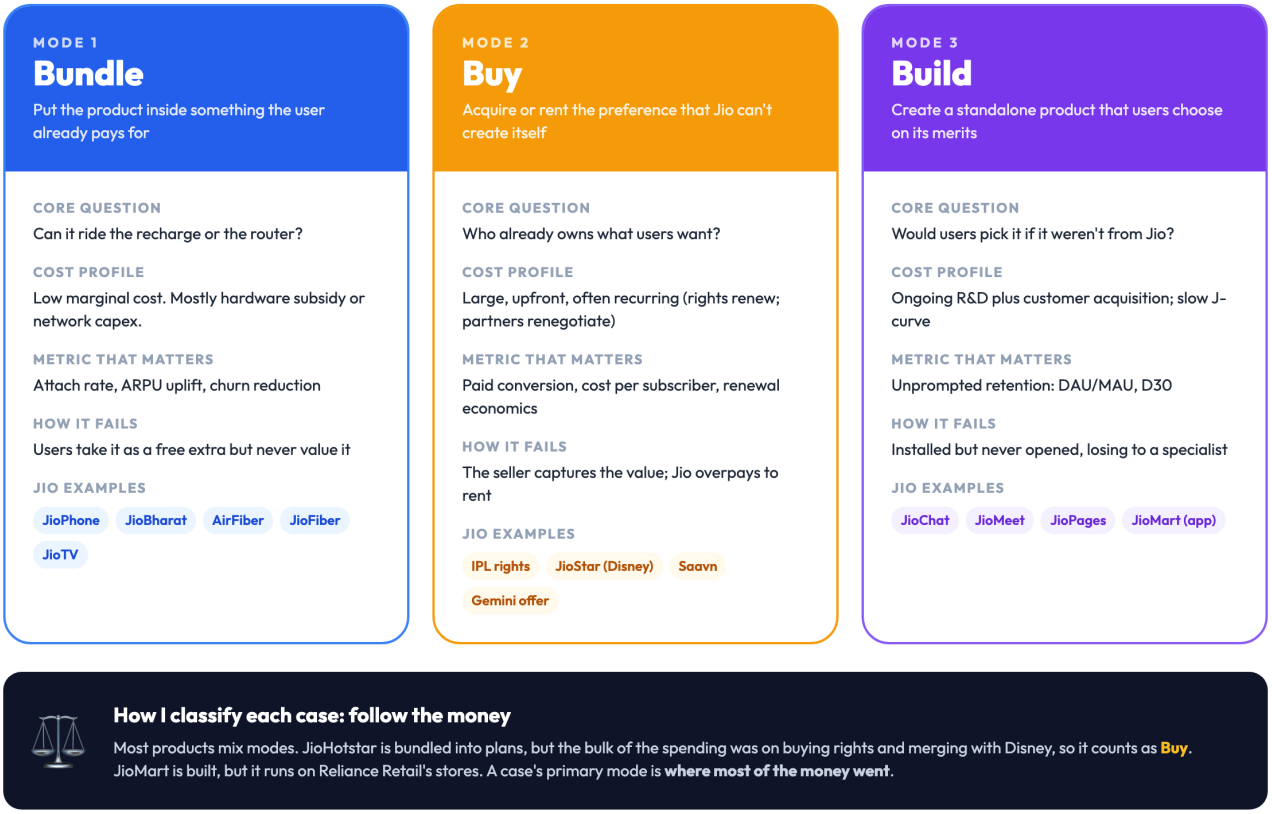
The framework: Bundle, Buy, or Build

Every attempt Jio has made to move beyond the connection fits one of three modes.

FIG 6 · THE FRAMEWORK

Bundle, Buy, or Build

Jio has three ways to move beyond telecom. Each has a different cost profile and a different way to fail.



Framework: the author's. Each case is classified by its dominant strategic investment mode (author's assessment), usually where most of the money went.

Bundle. Put the product inside something users already pay for. It fails when users accept the extra but never value it.

Buy. Acquire or rent preference that Jio can't create. Costs are large, upfront and often recurring. It fails when the seller captures the value.

Build. Create a standalone product people choose on its merits. Costs are ongoing engineering and acquisition. It fails when the app is installed but never opened.

Two questions are easy to blur here. **Mode** is how Jio entered a market, and I classify each case by its dominant strategic investment mode, which is my assessment (JioHotstar is bundled into plans, but its money went on cricket rights and the Disney merger, so it counts as Buy). **Success** depends on something else: whether the product removed a decision for users or asked them to make a new one. The scorecard below tracks both.

The scorecard

I scored twelve of Jio's consumer bets over ten years on two axes:

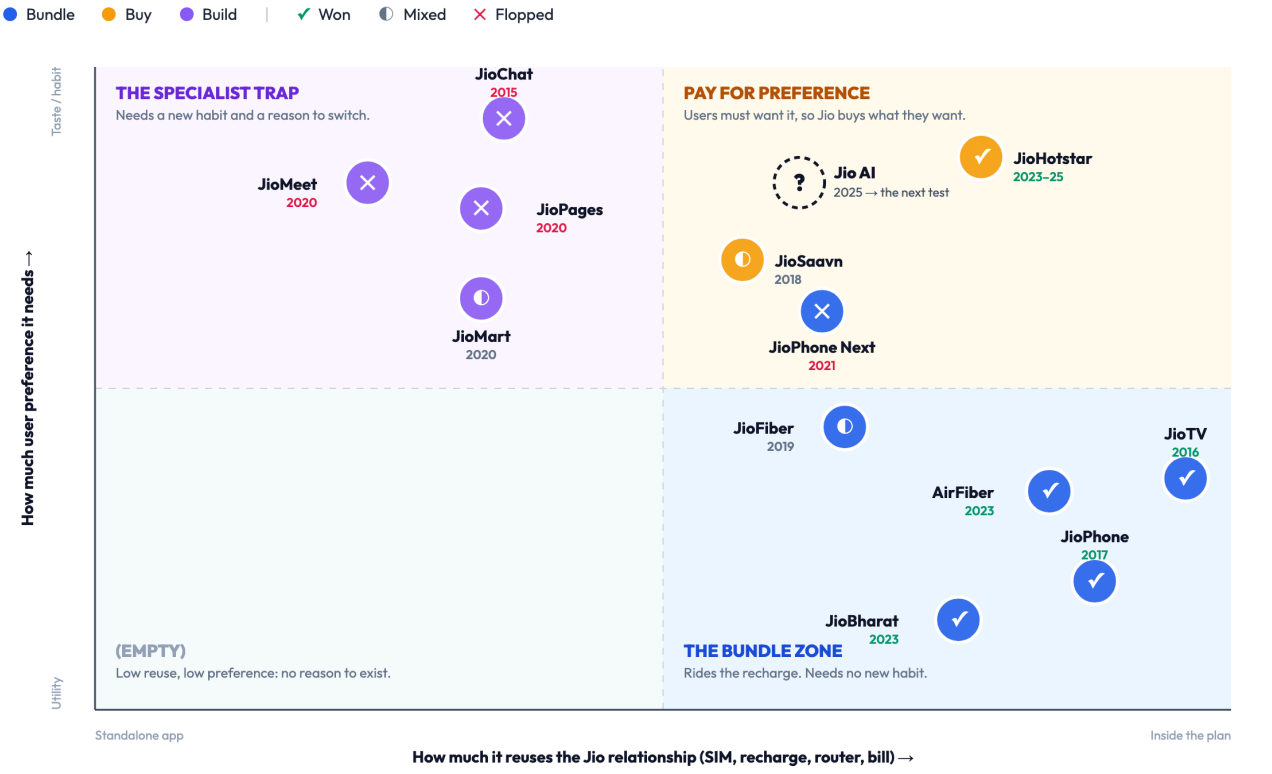
- **Reuse (x):** how much it rides the existing Jio relationship (SIM, recharge, router, bill).
- **Preference (y):** how much it needs users to *choose* it over an alternative they already like.

Each axis has a written rubric, and each outcome has a stated "win if" criterion. Both are shown on the figures. The placements are my judgement, made with hindsight, so treat the map as a lens rather than a measurement. Evidence quality also varies: some bets have public adoption data, while others rest on launches, competitive position and indirect signals (each card carries an evidence rating).

FIG 7 · THE SCORECARD

Twelve consumer bets beyond the core SIM, on one map

Jio's wins cluster where the product reuses the existing relationship and needs little preference. Where preference was needed, Jio won only when it bought it.



x · Reuse of the Jio relationship

0–3 separate app, separate decision. **4–6** uses Jio login, billing or app grid, but users still opt in. **7–10** arrives inside the plan, SIM, handset or router.

y · Preference needed

0–3 utility with no strong incumbent. **4–6** alternatives exist but users aren't attached. **7–10** competes with a product users actively choose (habit, taste or network effects).

Outcome (as of Oct 2026)

Won: reached its stated ambition at scale and is still core. **Mixed**: survived at scale but trails the leader or missed its ambition. **Flopped**: shut down, marginal usage, or publicly missed targets.

Connectivity extensions (devices, broadband, in-plan TV): JioPhone, JioBharat, AirFiber, JioFiber, JioPhone Next, JioTV. **Beyond connectivity**: JioHotstar, JioSaavn, JioMart, JioMeet, JioChat, JioPages. Consumer products only; infrastructure (e.g. Jio's in-house 5G stack) is out of scope. Placements are the author's judgement, made with hindsight. Read the map as a lens, not a measurement.

The map sorts itself. Bottom right, the **Bundle zone**, is where almost everything worked. Top left, the **specialist trap**, is where standalone apps that needed a new habit failed. Top right, **pay for preference**, is where Jio won only when it bought what users wanted. Bottom left is empty, sensibly.

The headline is 5 wins, 3 mixed and 4 flops. Those totals judge adoption and competitive position against the stated criteria. They don't measure financial return, which Jio doesn't disclose for most of these products. And the total hides the most important split.

Part 1: Extending the connection

FIG 8A · THE SCORECARD, PART 1: CONNECTIVITY EXTENSIONS

Extending the connection: 4 won, 1 mixed, 1 flopped

Six products that sell or deepen the connection itself: handsets, home broadband and in-plan TV. All six are Bundle plays.

JioPhone ✓Won
2017
BUNDLE
~₹1,500 refundable deposit
A 4G phone sold as a recharge plan. It moved tens of millions of 2G users onto Jio's network.
Win if: move 2G feature-phone users onto Jio 4G at scale.
Evidence: Medium · sales not officially disclosed

JioTV ✓Won
2016
BUNDLE
Free with every plan
Live TV inside the SIM. Nobody had to choose it, so nobody had to be persuaded.
Win if: stay a default, retained part of the plan.
Evidence: Low · usage not disclosed; scored on persistence

AirFiber ✓Won
2023
BUNDLE
14M+ connections (reported)
Wireless home broadband with no cable to lay. It made fixed broadband a 5G add-on.
Win if: add home connections faster than wired fibre did.
Evidence: Medium · company-reported connections

JioBharat ✓Won
2023
BUNDLE
₹999 handset
JioPhone again, cheaper. A 4G feature phone with UPI built in, aimed at the remaining 2G users.
Win if: keep upgrading 2G users at a ₹999 price point.
Evidence: Low · early; sales not disclosed

JioFiber ◐ Mixed
2019
BUNDLE
Slow wired rollout
The bundle was right but the cable was slow. AirFiber did more for home broadband in two years.
Win if: reach the tens of millions of homes targeted at launch.
Evidence: Medium · TRAI wireline data

JioPhone Next ✕Flopped
2021
BUNDLE
₹6,499 with Google
A bundle that needed buyers to prefer it, in a market Xiaomi and Samsung already owned. Sales missed early ambitions.
Win if: sell at the scale of its launch ambitions.
Evidence: Medium · press reports, not disclosed

The pattern: Bundle wins when the alternative is nothing (a 2G phone, no home broadband). The one flop, JioPhone Next, was a smartphone. It needed buyers to prefer it, and Xiaomi already had that preference. These wins extend telecom. They don't leave it.

As of 23 Oct 2026. Mode = the dominant strategic investment mode (author's assessment). "Win if" is the criterion each product is scored against; Evidence rates how well public data supports the score. Scores are the author's judgement, made with hindsight. Outcomes judge adoption and competitive position against the "win if" criterion; standalone financial returns are not public for most products.

Six products deepen the connection itself: handsets, home broadband and in-plan TV. All six are Bundle plays. **4 won, 1 mixed, 1 flopped.** These wins are real, but they extend telecom rather than leave it.

Part 2: Leaving the connection

FIG 8B · THE SCORECARD, PART 2: BEYOND CONNECTIVITY

Leaving the connection: 1 won, 2 mixed, 3 flopped

Six products that compete for attention outside the SIM: streaming, music, commerce, video calls, messaging and browsing.

JioHotstar — ✓ Won
2023–25
BUY
300M subs incl. bundles (Jun 2025); 530M MAU (Q1 FY27)
IPL rights plus the Disney merger. Jio bought scarcity, then distributed it through the bundle.
Win if: become India's leading paid streaming service.
Evidence: Medium · subs include telco bundles

JioSaavn — ◐ Mixed
2018
BUY
~100M MAU (2023–24)
Acquired scale, but music isn't scarce. Spotify and YouTube Music license the same songs.
Win if: lead Indian music streaming.
Evidence: Medium · third-party MAU estimates

JioMart — ◐ Mixed
2020
BUILD
Trails Blinkit in quick commerce
Strong on supply (Reliance stores), weak on habit. It trails Blinkit in daily usage.
Win if: become a habitual, top-two commerce destination.
Evidence: Medium · order data not disclosed

JioMeet — ✕ Flopped
2020
BUILD
"Zoom clone"
Launched mid-pandemic. Gave nobody a reason to switch from Zoom, Meet or Teams.
Win if: hold meaningful share after the 2020 spike.
Evidence: Medium · no usage disclosed since 2020

JioChat — ✕ Flopped
2015
BUILD
Pre-launch messenger
A messenger competing with WhatsApp. Jio later took Meta's money instead.
Win if: become a mainstream messenger.
Evidence: High · negligible usage

JioPages — ✕ Flopped
2020
BUILD
Chromium browser
Built because Jio could, not because users asked for it. Chrome was already preinstalled.
Win if: win meaningful browser share.
Evidence: High · negligible StatCounter share

The pattern: beyond connectivity, Jio's clearest win, JioHotstar, came from combining its distribution with a scarce asset it bought (IPL rights, Disney's catalogue). Buying a non-scarce asset (music) produced a mixed result. None of the four standalone Build attempts has displaced an established specialist.

As of 23 Oct 2026. JioCinema existed as a bundled Jio app from 2016; it only became a contender after the 2023 IPL rights (Buy), so it is scored as part of JioHotstar. Scores are the author's judgement, made with hindsight. Outcomes judge adoption and competitive position against the "win if" criterion; standalone financial returns are not public for most products.

Six products compete for attention outside the SIM. **1 won, 2 mixed, 3 flopped.** The clearest win, JioHotstar, is the one where Jio bought the thing that made it win.

So the sharper version of the finding is this: **beyond connectivity, Jio's clearest win combined its distribution with a scarce asset it bought. Standalone apps have had a much harder time.**

What the scorecard leaves out

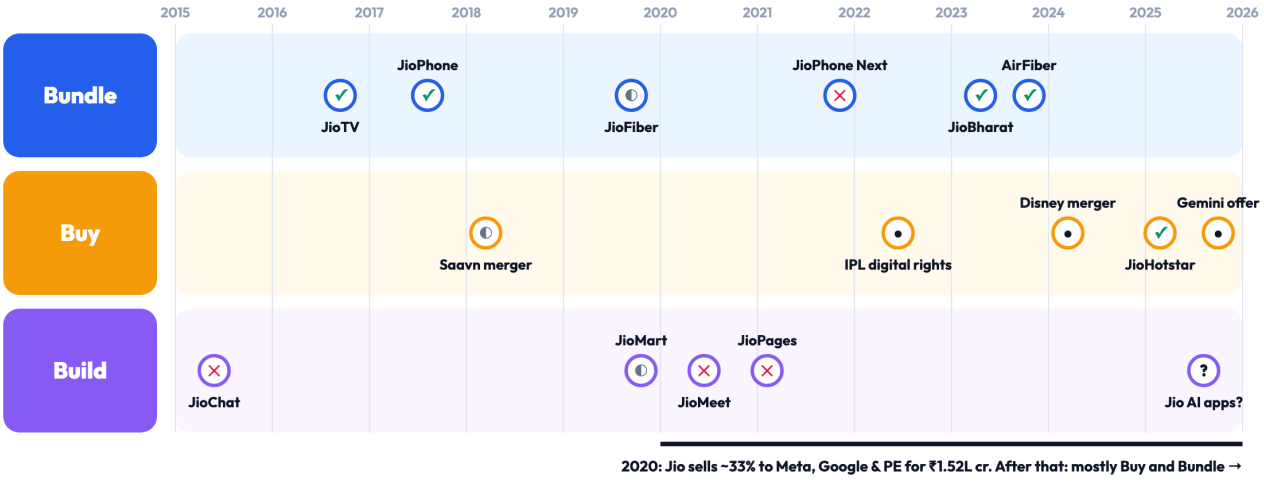
This is a scorecard of *consumer products*. Jio's best Build is arguably infrastructure: the 4G network itself and the in-house 5G stack the RHP describes as part of a vertically integrated platform. Jio can clearly build hard things. What it hasn't done is build a consumer habit that displaces a specialist. That distinction matters for AI, where the infrastructure rung looks very different from the consumer-app rung.

The timeline

FIG 9 · TEN YEARS IN THREE LANES

Jio stopped building and started buying

After 2020, Build attempts dry up. The money moves to Buy (rights, mergers, partnerships) and Bundle (devices, home broadband).



Dates are launch or deal announcement years, approximate. Circles show outcomes: ✓ won, ◐ mixed, ✕ flopped, ● deal or enabler (no outcome scored).

Before 2020, Jio tried all three modes. After 2020 it almost stopped building consumer apps. JioMeet and JioPages were the last serious attempts. Since then the money has gone into Buy (IPL rights, the Disney merger, the Gemini partnership) and Bundle (AirFiber, JioBharat).

2020 was the turning point. Jio sold about a third of itself to Meta, Google and a group of private equity and sovereign funds for ₹1.52 lakh crore, and JioMart launched *inside WhatsApp*, the messenger JioChat had been built to rival. That looks like an organisation adjusting to its own scorecard.

Three cases that explain the pattern

Case 1: Two phones, two outcomes

JioPhone and JioPhone Next are the most revealing comparison in this story. Same company, same bundle strategy, opposite results. It isn't a controlled experiment (the market, the timing and the chip supply all changed), but the contrast is hard to ignore.

FIG 10 · CASE STUDY: TWO PHONES, TWO OUTCOMES

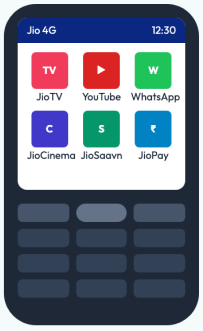
JioPhone was sold as a plan. JioPhone Next had to compete as a phone.

Same company, same bundle strategy. The difference was what the buyer was comparing it against.

JioPhone

2017 · KaiOS feature phone

✓ Won



THE BUYER COMPARED IT TO

Their ₹1,000 2G Nokia, with costly voice and no data

THE OFFER

"Effectively free" with a ~₹1,500 refundable deposit, tied to a cheap Jio plan

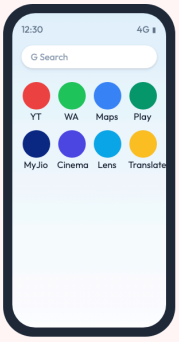
WHY IT WORKED

It wasn't competing on specs. It was a **plan with a screen attached**, and nothing on the market matched it.

JioPhone Next

2021 · Android Go (Pragati OS), with Google

✕ Missed



THE BUYER COMPARED IT TO

A Redmi or Realme at a similar price, with a better camera, more RAM and a brand they liked

THE OFFER

₹6,499, or ₹1,999 down plus EMI, launched in the 2021 chip shortage

WHY IT MISSED

Once it was a smartphone, buyers judged it as a smartphone. The bundle **couldn't create preference** in a market with strong brands. Reported sales were far below the early ambitions.

The lesson: a bundle works when the alternative is nothing. It struggles when the alternative is something users already like.

Illustrative UI recreations, not screenshots. Pricing from launch announcements. JioBharat (2023, ₹999) went back to the JioPhone playbook.

JioPhone (2017) was a 4G feature phone, "effectively free" with a refundable deposit of about ₹1,500 and tied to a cheap plan. The buyer was comparing it to a ₹1,000 2G Nokia with expensive calls and no data. It wasn't competing on specs. It was **a plan with a screen attached**.

JioPhone Next (2021) was an Android phone built with Google, at ₹6,499 or ₹1,999 down plus instalments, launched in a chip shortage. Now the buyer was comparing it to a Redmi or Realme with a better camera and a brand they already liked. Jio doesn't disclose sales, but third-party estimates suggest they fell well short of early ambitions.

> **A bundle works when the alternative is nothing. It struggles when the alternative is something users already like.**

JioBharat (2023, ₹999) went straight back to the original playbook.

Case 2: JioMeet and the Build trap

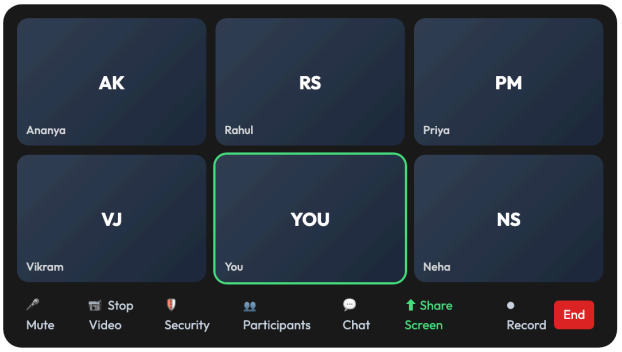
In July 2020, at the peak of the pandemic, Jio launched JioMeet. It was widely called a Zoom clone, and it was.

FIG 11 · CASE STUDY: THE BUILD TRAP

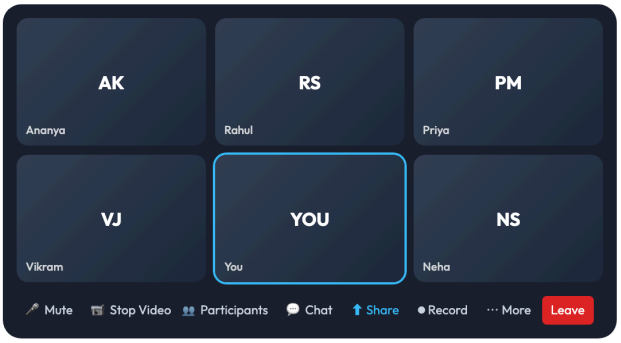
Spot the difference: that was JioMeet's problem

JioMeet launched in July 2020 and was widely called a Zoom clone. It looked the same, and that was the problem: it gave users no reason to switch.

Zoom (2020)



JioMeet (2020)



Reasons to switch, from the user's point of view

WHAT WOULD MAKE A USER MOVE	JIOMEET	
My colleagues/clients are already on it	✕	
It does something Zoom/Meet/Teams can't	✕	
It's bundled into something I already pay for	✕	
It's much cheaper	◐	Zoom & Meet already free
Data sovereignty ("Indian app")	◐	Moved few users once the China-app ban news faded

THE SAME YEAR, A BIGGER MOVE

Three months *before* JioMeet launched, Jio took **₹43,574 cr from Meta** for ~10% of Jio Platforms. JioMart then **launched inside WhatsApp**, the messenger JioChat was built to rival.

In messaging, Jio stopped trying to win daily habit and started renting access to it. JioMeet looks, in hindsight, like the last attempt to Build in that space.

Illustrative recreations of the 2020 UIs for comparison, not screenshots. The Meta investment (₹43,574 cr, 9.99%) was announced in April 2020.

From the user's side: were colleagues already on it? No. Did it do anything Zoom, Meet or Teams couldn't? No. Was it bundled into something they paid for? No. Was it cheaper? Not really. Was "an Indian app" a reason to switch? Briefly, during the China-app ban, and then not.

JioMeet had distribution. It lacked a **reason to switch**. Distribution gets an app installed. Only preference gets it opened again tomorrow.

The same year, Jio made a bigger move. Three months *before* JioMeet launched, it had taken ₹43,574 crore from Meta for about 10% of the company, and JioMart then launched inside WhatsApp. In messaging, Jio stopped trying to win daily habit and started renting access to it.

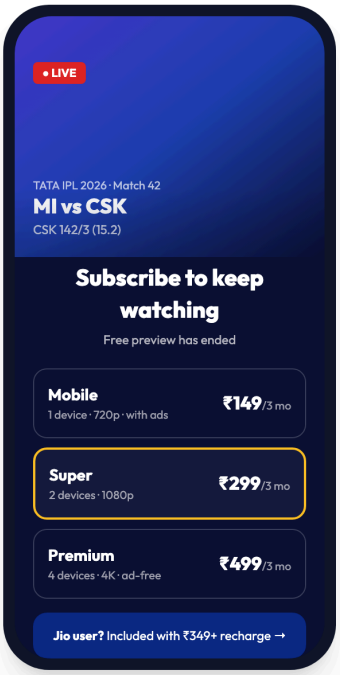
Case 3: JioHotstar, the Buy that worked

Jio couldn't build cricket fandom, so it bought the IPL.

FIG 12 · CASE STUDY: THE BUY THAT WORKED

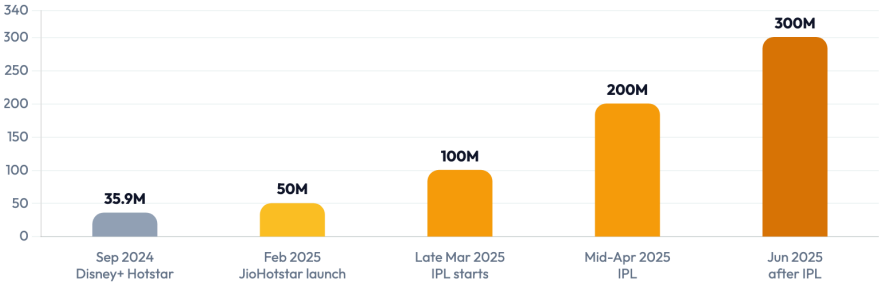
Jio couldn't build cricket fandom, so it bought the IPL

Free IPL streaming in 2023 built reach. The Disney merger brought the catalogue. Then the paywall went up.



Reported subscriptions (millions): reach, not like-for-like

Sep 2024 = Disney+ Hotstar paid subscribers. JioHotstar figures include telco-bundled access, so the jump measures reach, not separately paying demand. Most of the growth came during IPL 2025 (late Mar–May). Milestones as reported by ET, Variety and Financial Express.



IPL DIGITAL RIGHTS
₹23,758 cr
2023–27, Viacom18

JIOSTAR MERGER
~₹70,000 cr
post-money value · RIL ~63% / Disney ~37%

RELIANCE CASH IN
~₹11,500 cr
growth capital into the JV

Why this Buy worked (author's read): distribution plus an asset that was **scarce**. Live IPL can only be watched in one place, so anyone who wants it has to come to JioHotstar. Compare JioSaavn: every app licenses the same songs, so buying Saavn bought scale but not exclusivity. (Execution, pricing and discovery mattered in both cases too.)

Paywall is an illustrative recreation; plan prices simplified from 2025 launch pricing. Subscriber counts as reported by Disney/JioStar and media; definitions differ (2024 = paid; 2025–26 include telco-bundled subscriptions). Public data does not split bundled vs direct-paying subscribers or show JioHotstar's standalone returns. The ₹23,758 cr covers the IPL digital-rights package only, not JioHotstar's total costs; ₹11,500 cr is Reliance's growth capital into the JV. The two are not added together. IPL rights figure is the 2022 auction outcome for digital rights.

1. **Buy the rights.** Viacom18 paid ₹23,758 crore for IPL digital rights for 2023–27.
2. **Give it away to build reach.** IPL 2023 streamed free on JioCinema.
3. **Buy the catalogue.** Reliance merged its media business with Disney Star into JioStar, adding roughly ₹11,500 crore of growth capital.
4. **Put up the paywall**, and bundle it into recharges.

Disney+ Hotstar had about 36 million paid subscribers in 2024. JioHotstar launched in February 2025 with about 50 million, crossed 100 million in late March as IPL 2025 began, 200 million by mid-April, and 300 million by June. (By Q1 FY27, during IPL 2026, JioStar reported 530 million average monthly active users, a usage measure rather than subscriptions.) Those figures include telco-bundled plans, so they aren't like-for-like with the 2024 number. The jump measures reach, not paying intent. But the timing is telling: most of it arrived during the IPL, the scarce asset. That is still the point: the bundle distributes the thing Jio bought. How much of that reach turns into revenue isn't disclosed.

The two cheques are also different things. ₹23,758 crore bought the IPL digital rights for five seasons. The ₹11,500 crore was growth capital for JioStar. Neither is the full cost of the business, and they shouldn't be added together.

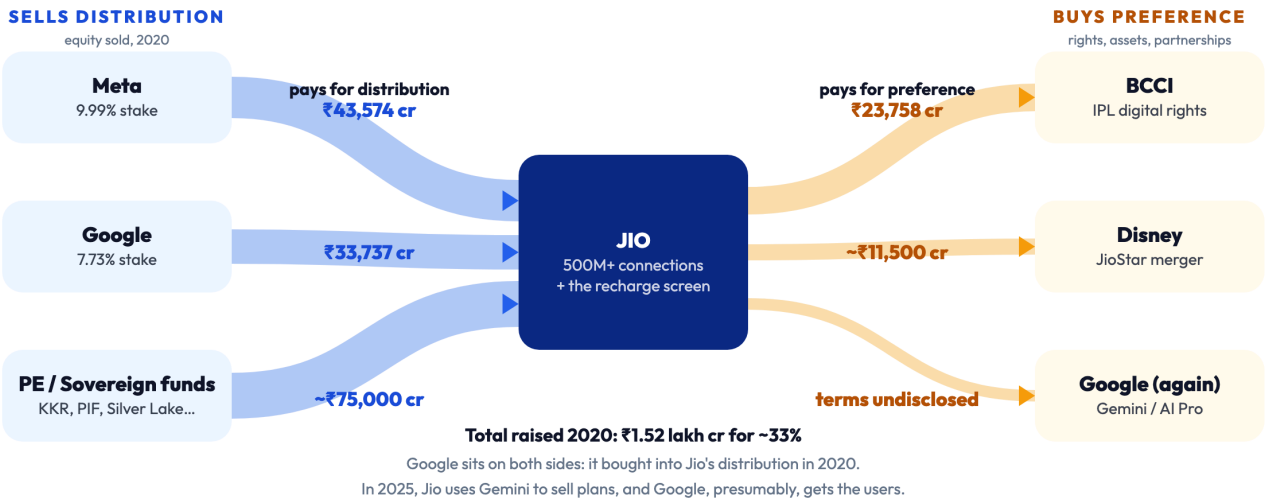
JioCinema had existed as a bundled Jio app since 2016. It only became a contender once it had the IPL. **My read is that this Buy worked where Saavn was only mixed largely because what Jio bought was scarce.** Live IPL is in one place. Every music app licenses the same songs. Execution, pricing and discovery mattered too. And a stronger competitive position isn't, by itself, proof of an attractive return once rights, content and bundle subsidies are paid for.

Follow the money

FIG 13 · FOLLOW THE MONEY

Jio sells distribution and buys preference

The money tells you what each side thinks Jio has, and what it lacks.



Total raised 2020: ₹1.52 lakh cr for ~33%

Google sits on both sides: it bought into Jio's distribution in 2020.
In 2025, Jio uses Gemini to sell plans, and Google, presumably, gets the users.

What the world pays Jio for: access to 500M+ Indian connections and the screen many of them recharge on. Meta wanted WhatsApp commerce. Google wanted Android and AI distribution.

What Jio pays the world for: things people choose on their own, like live cricket, Disney's catalogue and frontier AI models. Jio could not build any of these, so it rents or acquires them.

Figures: Meta ₹43,574 cr (Apr 2020); Google ₹33,737 cr (Jul 2020); IPL digital rights ₹23,758 cr (2023–27); Reliance growth capital into JioStar ~₹11,500 cr; Google AI Pro offer ~₹35,100 retail value per eligible user (18 months), funded and shared between Google and Jio on undisclosed terms. Not all flows are comparable (equity vs. rights vs. retail value); arrows show direction, widths are indicative.

On the left, the world pays Jio for equity. Meta paid ₹43,574 crore, Google ₹33,737 crore, and private equity and sovereign funds roughly ₹75,000 crore more. They were buying **access to 500-million-plus Indian connections and the screen many of them recharge on.**

On the right, Jio pays for rights, assets and partnerships, which are different kinds of transaction: ₹23,758 crore for IPL rights, about ₹11,500 crore into the Disney merger, and an undisclosed arrangement with Google for Gemini. Jio is buying **things people choose on their own**, which it couldn't build.

Google sits on both sides. In 2020 it paid to get into Jio's distribution. In 2025 Jio uses Gemini to sell plans, and Google, presumably, gets the users.

> **Jio sells distribution and buys preference.**

The economics underneath

FIG 14A · THE ECONOMICS UNDERNEATH (REPORTED)

Telecom was a long J-curve, then years of compounding

Jio's reported net profit by financial year. The big cash events sit on top of it.



FY26, REPORTED

₹30,049 cr
Net profit, up ~15%

₹76,255 cr
EBITDA, up ~19%

₹1.47L cr
Revenue from ops

51.9%
EBITDA margin

Latest quarter (Q1 FY27): EBITDA grew 15.1% but net profit only 9.2%, and ARPU only 3.3% (₹208.8 → ₹215.6). Growth is slowing, and more of it is being absorbed below EBITDA.

Profit is the outcome of the cash events, not a payback calculation. Jio raised ₹1.52L cr of equity in 2020 and spent ₹88,078 cr on 5G spectrum in 2022 along the way.

Sources: Reliance Industries annual reports and quarterly results (Reliance Jio Infocomm until FY20, Jio Platforms consolidated from FY21); Jio Platforms RHP restated FY26 (net profit ₹30,049 cr; EBITDA ₹76,255 cr, 51.9% margin; some outlets cite ₹73,382 cr on a different EBITDA definition) and Q1 FY27 results (Moneycontrol, Business Standard, Economic Times). FY17–FY25 rounded and approximate.

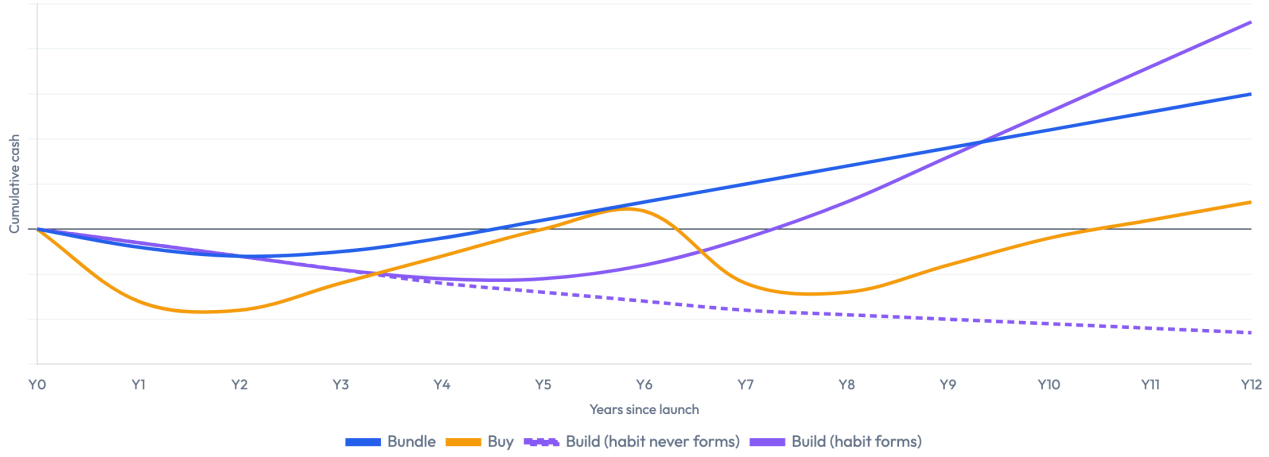
Jio's core business is one long J-curve: losses in FY17 and FY18, about ₹12,500 crore of profit by FY21, and **₹30,049 crore in FY26** (RHP restated) on ₹76,255 crore of EBITDA. (EBITDA here follows the RHP definition, a 51.9% margin. Some outlets cite ₹73,382 crore, which uses a different definition.) Along the way it raised ₹1.52 lakh crore in 2020 and spent ₹88,078 crore on 5G spectrum in 2022.

Each mode also has its own cash shape. The next chart is a conceptual model, not Jio data, and it doesn't imply any payback calculation.

FIG 14B · THE ECONOMICS UNDERNEATH (CONCEPTUAL)

Each mode has its own cash shape

A conceptual model, not Jio data. It shows the typical shape of cumulative cash for each mode and how each can fail to reach the upswing.



Bundle: shallow dip, fast return
Costs are device subsidies and network capex Jio was spending anyway. The return shows up as ARPU and lower churn, not a new revenue line.

Buy: deep dip, then it repeats
Rights are paid upfront and expire. The IPL contract ends in 2027, so the dip comes back at every renewal.

Build: slow bleed, uncertain upswing
Engineering and acquisition costs keep accruing. It only turns if users form a habit. For JioChat, JioMeet and JioPages, they didn't.

Illustrative shapes only: no scale, no payback period is calculated or implied. Not drawn from Jio's accounts.

- **Bundle: a shallow dip and a fast return.** Costs are subsidies and capex Jio was spending anyway. The return attributable to any single bundle is hard to establish without product-level data.
- **Buy: a deep dip that comes back.** Rights expire. The IPL contract ends in 2027, so the dip returns at renewal.
- **Build: a slow bleed with an uncertain upswing.** It only turns if users form a habit.

Even a well-built Jio app faces worse economics than a bundle. It has to pay for habit. The bundle gets habit for free from the recharge cycle.

So, telco or platform?

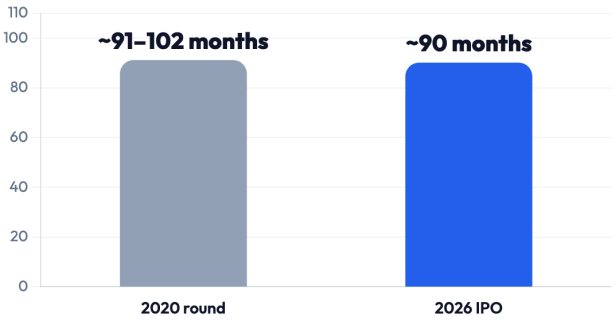
FIG 15 · WHAT THE MARKET IS ACTUALLY PAYING FOR

The pitch says platform. The price says telco.

Two lenses: what each connection is valued at relative to what it pays, and the multiple on Jio's current EBITDA.

Value per connection, in months of ARPU

Value ÷ subscribers ÷ monthly ARPU. An illustrative ratio, not a payback period.



2020 (Meta/Google round)
~₹11,900 / connection
₹4.62L cr pre-money EV (Meta deal) ÷ 388M · ARPU ~₹131. Later rounds (₹4.91L cr equity / ₹5.16L cr EV): ~96–102 mo

2026 (IPO, upper band)
~₹19,300 / connection
₹10.3L cr equity value (upper band) ÷ 533M · ARPU ₹215.6

Value ÷ EBITDA

Jio vs indicative EV/EBITDA ranges for each type of business



Jio ≈ 12.3× / 13.5× market cap ÷ annualised Q1 / FY26 EBITDA
up to ~15× if deferred spectrum dues are counted as debt

Bankers' early range (Nov 2025)
$130–170B

IPO, upper band
~$107B

Bharti Airtel, 23 Oct 2026
~$123B
₹11.81L cr, incl. Africa

Price / FY26 earnings
~34× vs Airtel ~37–41×

Telecom share of Jio (FY26)
88% / 95%
RJIL share of revenue / EBITDA

Read it this way: per rupee of user revenue, IPO investors are paying about what Meta and Google paid in 2020, or slightly less, depending on basis. Rich against global telcos, cheaper than Airtel on P/E and market cap, and below platform multiples (it reaches only their low edge under the spectrum sensitivity). With 95% of EBITDA still from the telecom subsidiary, the valuation is consistent with investors pricing Jio mainly on its telecom economics. Whether the newer businesses ever earn a platform premium is an open question.

As of 23 Oct 2026. Jio value: ₹1,119 × ~920.9 cr post-issue shares ≈ ₹10.3L cr. Multiples: ÷ Q1 FY27 EBITDA × 4 (₹83,460 cr) = 12.3×; ÷ FY26 EBITDA (₹76,255 cr) = 13.5×. Market cap ≈ EV here: RHP net debt at 30 Jun 2026 was ₹9,539 cr (₹61,372 cr borrowings less ₹51,833 cr cash), smaller than the ₹30,213 cr fresh issue, so pro-forma net financial debt is roughly nil or slightly net cash (excluding leases and spectrum dues). But treating ~₹1.05L cr of deferred spectrum dues as debt (a sensitivity, not a definitive multiple) would lift EV/EBITDA to ~14–15×. P/E is less comparable across telcos because spectrum amortisation and interest vary widely, so EBITDA is used as the main lens. Airtel P/E: 40.71× in the RHP peer table; ~37–37.5× per ET/INDmoney in Oct 2026. Airtel market cap at 23 Oct close. RJIL shares per RHP (87.74% of revenue, 94.88% of EBITDA). Peer ranges are indicative: Airtel India EV/EBITDA 10–13× per broker estimates reported Oct 2026 (Moneycontrol, INDmoney); global incumbents and internet platforms are the author's indicative ranges. 2020 bar uses the Meta deal's ₹4.62L cr pre-money EV; later-round equity/EV bases give ~96–102 months. 2026 is equity value, so the bases differ: read the comparison as 'about the same', not exact. Strategy lens, not a valuation opinion. Not investment advice.

Start with the most important fact in the RHP. In FY26 the telecom subsidiary, Reliance Jio Infocomm, accounted for **87.74% of Jio Platforms' revenue and 94.88% of its EBITDA**. Whatever the pitch says, investors are mostly buying a telco. Two lenses, both rough, point the same way.

Value per connection, in months of ARPU. This is an illustrative ratio, not a payback period. In the 2020 Meta deal, Jio's pre-money enterprise value implied about ₹11,900 per subscriber, or about **91 months** of ARPU at ~₹131. Later 2020 rounds, on equity or enterprise value, work out to roughly 96–102 months. At the IPO's upper band, equity value is about ₹19,300 per connection, or about **90 months** at ₹215.6. Per rupee of user revenue, IPO investors are paying about the same as Meta and Google did in 2020, or slightly less. Six years of JioHotstar, JioMart and AI announcements haven't added a visible platform premium.

Value relative to EBITDA. ₹10.3 lakh crore is about **12.3×** annualised Q1 FY27 EBITDA, or **13.5×** FY26 EBITDA. That's market cap, but here it's close to enterprise value. The RHP put net debt at ₹9,539 crore in June 2026, less than the ₹30,213 crore the issue raises, so pro-forma net financial debt is roughly nil, or slightly net cash (excluding leases and spectrum dues). As a sensitivity, counting ~₹1.05 lakh crore of deferred spectrum dues as debt would lift it to ~14–15×. For context, broker estimates put Airtel's India business at about 10–13× EV/EBITDA. Global incumbent telcos sit lower, and consumer internet platforms sit well higher.

Jio trades at about 34× FY26 earnings, which sounds un-telco-like until you note that Airtel trades at about 37–41× (the RHP peer table shows 40.71×). On P/E, Jio is *cheaper* than Airtel. P/E is noisy across telcos because spectrum amortisation and interest vary so much, which is why EBITDA is the better lens here. Returns help explain the discount: Jio's return on net worth is about 9.4%, against Airtel's 20.3% (RHP peer table).

Three more reference points fit the same reading. Bankers floated $130–170 billion in late 2025. The IPO priced at about $107 billion. And Airtel was worth about ₹11.8 lakh crore, or roughly $123 billion, at the close on 23 October, a figure that includes its Africa business. Jio has far more connections in India than Airtel, yet it's listing below it.

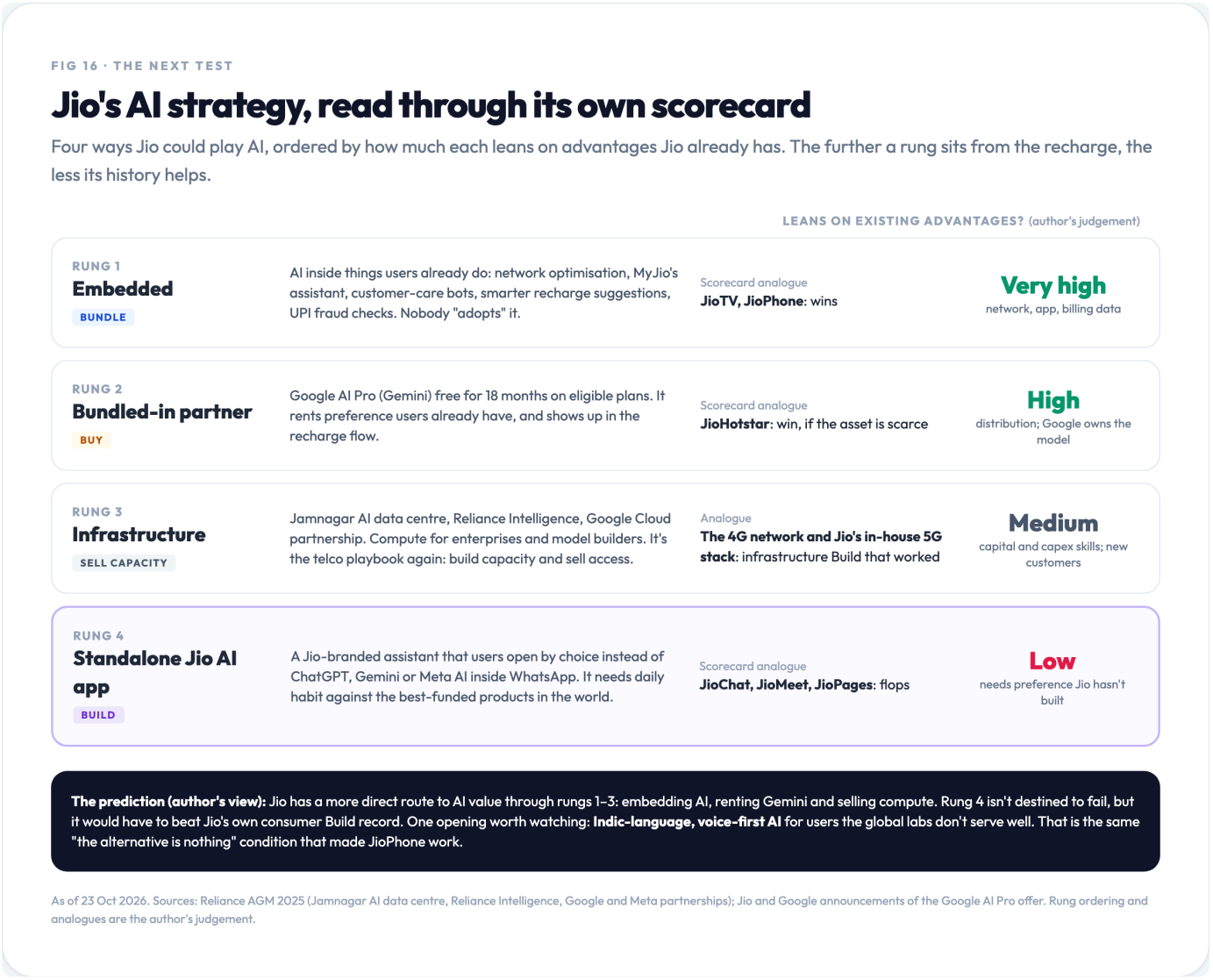
The reading: Jio is priced richly against global telcos, but below Airtel on P/E and market cap. The evidence is consistent with a valuation still anchored in telecom economics. The newer businesses may create strategic value, but their contribution isn't disclosed in enough detail to establish a separate platform premium. That isn't a criticism of the IPO. It's a statement about what the non-connectivity scorecard has earned so far.

(A strategy lens, not a valuation opinion. Nothing here is investment advice.)

The next test: AI

Reliance has been loud about AI: a large data centre in Jamnagar, a new unit called Reliance Intelligence, partnerships with Google and Meta, and, most visibly, Google AI Pro bundled free for 18 months on eligible Jio plans.

Read through the scorecard, there are four ways Jio could play AI. Rather than assign odds, I've ordered them by how much each leans on advantages Jio already has. The ordering is my judgement.



Rung 1: Embedded (Bundle). AI inside things users already do: network optimisation, the MyJio assistant, customer care, recharge suggestions, UPI fraud checks. Nobody has to adopt it. This leans hardest on Jio's existing advantages.

Rung 2: Bundled partner (Buy). The Gemini offer. It rents preference users already have and places it in the recharge flow, like JioHotstar. The catch is that Google, not Jio, owns the model and the user relationship.

Rung 3: Infrastructure (sell capacity). Data centres and compute for enterprises and model builders. This is the telco playbook again, and the one place where Jio's infrastructure Build record (4G, the 5G stack) applies directly. It's capital-heavy and the customers are new.

Rung 4: A standalone Jio AI app (Build). A Jio-branded assistant people open by choice instead of ChatGPT, Gemini, or Meta AI inside WhatsApp. It needs daily habit against the best-funded products in the world. The analogues are JioChat, JioMeet and JioPages.

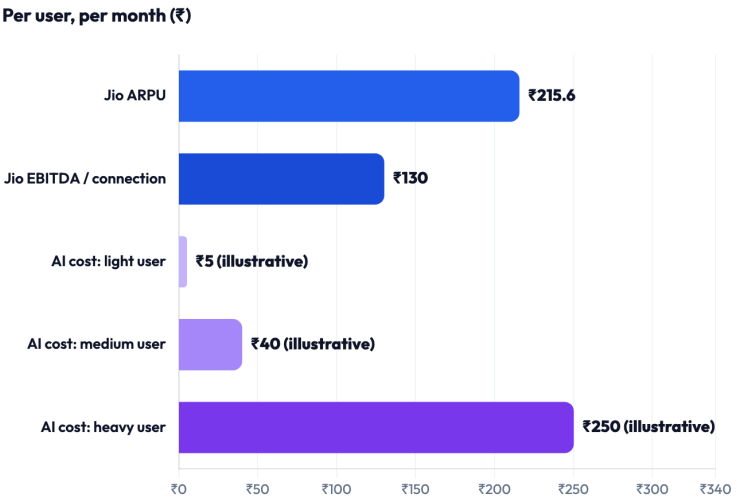
The AI math problem

There's also an economic reason AI differs from what Jio has bundled before. I covered the general version of this in [my July piece on AI pricing]; here's the Jio-specific one.

FIG 17 · THE AI MATH PROBLEM

A heavy AI user could cost more than they pay Jio

Data costs fall with scale. AI inference costs grow with usage. That's why "bundle it free" doesn't carry over to AI automatically.



WHAT A JIO USER IS WORTH

₹215.6 ARPU

~₹130 EBITDA per connection

WHAT THE GEMINI OFFER IS "WORTH"

~₹1,950 /month

Retail price of Google AI Pro, about **9× Jio's ARPU**. That is a retail price, not Jio's cost; terms are undisclosed. Who bears the inference cost isn't public.

The strategic consequence: Jio should bundle AI only where a partner pays for inference, or where it controls the cost (its own compute running small Indic models). If Jio had to bear the full cost of heavy frontier-model usage, ~₹130 of EBITDA per connection would not go far. Whether the offer pays depends on the partnership terms, actual usage, and any retention or acquisition benefit.

Q1 FY27: ARPU ₹215.6; EBITDA per connection = ₹20,865 cr ÷ 533.3M ÷ 3 months ≈ ₹130 (EBITDA covers all of Jio's businesses, not just mobile). ARPU, EBITDA and AI cost are different measures, shown together only for scale. AI inference costs are the author's illustrative assumptions, not Jio data: light ≈ a few short chats a week on a small model; medium ≈ daily use on a mid-tier model; heavy ≈ frequent long-context use of a frontier model, images and voice. Real costs vary widely by model and are falling, but usage is rising.

Three different numbers are worth keeping apart:

- **ARPU** is what a connection pays Jio: ₹215.6 a month.
- **EBITDA per connection** is about ₹130 a month (₹20,865 crore of Q1 EBITDA ÷ 533 million ÷ 3). It covers all of Jio's businesses, not just mobile.
- **AI inference cost** is what serving one user's AI usage costs. My figures here are illustrative scenarios, not Jio data.

Data got cheaper with scale, which is why "bundle it free" worked for data and video. Inference cost grows with usage. A light user might cost a few rupees a month. A heavy frontier-model user, with long conversations, images and voice, could cost more than they pay Jio.

The Gemini offer shows the gap. Google AI Pro retails for about ₹1,950 a month, about **nine times Jio's ARPU**. That's a retail price, not Jio's cost. The terms are undisclosed, and who bears the inference cost isn't public.

The consequence: Jio should bundle AI where a partner pays for inference, or where it controls the cost (its own compute running small, efficient Indic models). If Jio had to bear the full incremental cost of heavy frontier-model usage, giving it away could become commercially unattractive. Average EBITDA per connection isn't the budget available for AI subsidies, but it shows the scale: ₹130 a month doesn't stretch far against heavy usage. Whether the offer pays depends on the negotiated terms, actual usage, and what it does for acquisition and retention.

The prediction

> **Jio has a more direct route to AI value through rungs 1 to 3:** embedding AI, renting Gemini and selling compute. Rung 4, a standalone consumer AI app competing on its merits, isn't destined to fail, but it would have to beat Jio's own consumer Build record.

One exception is worth watching: **Indic-language, voice-first AI** for users the global labs don't serve well. That's the condition that made JioPhone work. When the alternative is nothing, Jio's distribution wins.

What would prove this wrong



1. **Build wins.** A Jio-built consumer app earns daily habit on its own: JioMart quick commerce overtakes Blinkit in orders, or a Jio AI app holds strong daily-to-monthly usage without a bundle.
2. **Pricing power fades.** ARPU growth has already slowed to 3.3%, against Airtel's 5.6%. If it keeps slowing between hikes, or the next hike costs enough users to shrink mobile revenue, the consolidation dividend is running out.
3. **Buy gets too expensive.** The 2027 IPL renewal wipes out JioHotstar's margin.
4. **The platform premium shows up.** Non-telecom revenue grows from roughly 12% today (the FY26 non-RJIL share, a rough proxy) to a third of revenue with healthy margins, and the market pays well above the ~12.3× starting multiple.

Baselines: ARPU ₹215.6 (+3.3% YoY), 533 million connections, 1.6% monthly churn, a 53.3% EBITDA margin on revenue from operations, and ~12.3× market cap to annualised EBITDA. Check back in a year.

The takeaway

Ten years and twelve consumer bets give Jio a clear scorecard.

- It is **excellent at Bundle**. When a product rides the recharge, Jio is close to unbeatable in India.
- It is **good at Buy** when the asset is scarce, and average when it isn't.
- It has had **far less success building standalone consumer products**, even as it has built world-class infrastructure.

The price pays for the bundle machine, not for a consumer platform. That seems fair.

Jio doesn't need to become a *technology* platform. It can become a *distribution* platform: the screen half a billion connections return to every recharge cycle, where Google, Disney, the BCCI and whoever wins AI pay to be seen.

That's a different business from the one in the pitch deck. It might be a better one.

Appendix: Sources, method and caveats

Sources. Jio Platforms DRHP/RHP (objects of the issue, shareholding); final-day exchange subscription data as reported by Mint, Economic Times and Business Standard (23 Oct 2026); Reuters on 1.38 crore applications; ET Now and BusinessLine on the first IPO globally past one crore; RHP peer comparison table (P/E, RoNW) and segment data (RJIL share of revenue and EBITDA); Jio Platforms FY26 and Q1 FY27 results (Moneycontrol, Business Standard, Economic Times); Reliance Industries annual reports; Bharti Airtel Q1 FY27 results and market data (23 Oct 2026 close, per Dhan market-cap history; ₹11.78L cr on 21 Oct per Goodreturns); JioStar Q1 FY27 results (Variety, Storyboard18); broker valuation comparisons as reported by Moneycontrol and INDmoney (Oct 2026); Business Standard and Business Today on bankers' $130–170B range (Nov 2025); TRAI subscription and performance-indicator reports (prepaid share 90.14%, Mar 2026); TRAI per-GB wireless data cost series (press release, Aug 2019); company announcements for the 2020 Meta, Google and PE investments; BCCI media-rights results (2022); Reliance–Disney JioStar announcements; JioHotstar subscriber milestones (ET, Variety, Financial Express, 2025); Jio and Google announcements on the Google AI Pro offer; grey-market premium as reported by News18 and GMP trackers on 23 Oct 2026 (unofficial).

Key numbers. Value = ₹1,119 × ~920.9 crore post-issue shares ≈ ₹10.3 lakh crore. Subscription: 22.19× overall, excluding the anchor book; QIB 70.55× on the ~4.90 crore shares left after 7.24 crore went to anchors; NII ~14×, retail 2.72×. Ex-anchor bids ≈ 438 crore shares × ₹1,119 ≈ ₹4.9 lakh crore (author's arithmetic; reported totals including anchors are higher). Use of proceeds: up to ₹27,500 crore (~91%) to repay Reliance Jio Infocomm borrowings. FY26 (RHP restated): net profit ₹30,049 crore, EBITDA ₹76,255 crore (51.9% margin; some outlets cite ₹73,382 crore on a different

definition). RJIL share of FY26 consolidated revenue 87.74%, EBITDA 94.88%. Net debt at 30 June 2026: ₹9,539 crore (₹61,372 crore borrowings less ₹51,833 crore cash and investments; RHP), excluding ₹1,04,514 crore of deferred spectrum dues and ₹12,168 crore of leases. Q1 FY27: revenue from operations ₹39,173 crore, EBITDA ₹20,865 crore (53.3% margin on revenue from operations), net profit ₹7,764 crore, ARPU ₹215.6, 533.3 million connections.

Method. Mode = the dominant strategic investment mode (author's assessment). Reuse (x) and preference (y) are scored 0–10 using the rubric on Fig 7. Outcomes use the per-product "win if" criteria on Figs 8a and 8b, judged as of October 2026, with an evidence rating for each. They measure adoption and competitive position, not standalone financial return. 2020 value-per-subscriber uses the Meta deal's pre-money EV (~91 months); later rounds give ~96–102 months depending on basis. The spectrum-adjusted multiple is a sensitivity, not a headline. The scope is consumer products; infrastructure is excluded. All placements are the author's judgement, made with hindsight.

Caveats. Historical profit, ARPU, market-share and per-GB series are rounded. JioPhone and JioPhone Next sales are not officially disclosed. JioHotstar subscriber figures include telco bundles. Peer multiples are indicative and move daily. AI cost figures (₹5, ₹40, ₹250) are illustrative scenarios. The UI images in Figs 5, 10, 11 and 12 are recreations, not screenshots.

Disclaimer. This is a product and business strategy case study. It is not investment advice, a recommendation to buy or sell any security, or a valuation opinion.

— Deconstructed